

5 Corporate Governance Report

This report, which is presented in accordance with the Accounting Act of the Republic of Estonia, provides an overview of the governance of AS LHV Group (LHV) and the compliance of governance with the recommendatory guidelines 'Corporate Governance Recommendations' (CGR) of the EFSA and Nasdaq Tallinn Stock Exchange. LHV complies with the CGR, unless indicated otherwise in this report. Additionally, this report includes information required under the Corporate Sustainability Reporting Directive (CSRD), with the majority of the ESRS G1 Business conduct disclosures marked with specific reference.

5.1 Shareholder Information and Relations

5.1.1 General Meeting⁸

LHV is a public limited company whose governing bodies are the General Meeting, the Supervisory Board, and the Management Board.

The General Meeting where shareholders exercise their rights is the highest governing body of LHV. The primary duties of the General Meeting include amending the Articles of Association, increasing and decreasing share capital, approving share option programmes, taking decisions on the issuance of convertible bonds, electing and extending the authorisation of Supervisory Board members, removing Supervisory Board members before the expiry of their term of office, approving the annual report and allocation of profit, determining the number of auditors, appointing and removing the auditor(s), designating a special audit, deciding on the conclusion of transactions which are beyond the scope of everyday economic activities with members of the Supervisory Board, deciding on the dissolution, merger, division or transformation of LHV and taking other decisions within the power of the General Meeting under the law and the Articles of Association.

A resolution on the amendment of the Articles of Association is adopted when at least two-thirds of the votes represented at the General Meeting are in favour. A resolution on the amendment of the Articles of Association and a new redaction of the Articles of Association enters into force at the time when the corresponding entry is made in the commercial register. The resolution of the General Meeting on the amendment of the Articles of Association and the new text of the Articles of Association is attached to the application filed with the commercial register.

A shareholder has the right to participate in the General Meeting, address the General Meeting regarding items on the agenda, ask reasoned questions and make proposals.

Furthermore, the shareholders have additional rights as provided by law or specified in the Articles of Association.

The General Meeting is called by the Management Board, unless otherwise provided by law, the Annual General Meeting whose agenda includes the approval of the annual report is called at least once a year. The Management Board calls the Annual General Meeting within six months after the end of the financial year at the latest, unless otherwise provided by law. The Management Board gives at least three weeks' notice of Annual or Extraordinary General Meetings.

The agenda of the General Meeting, proposals of the Management Board and Supervisory Board, draft resolutions and other relevant materials are made available to the shareholders prior to the General Meeting. The materials are made available on LHV's website. The shareholders not wishing to participate in the meeting in person are granted the opportunity to vote on the draft resolutions on the agenda of the General Meeting prior to the General Meeting and to participate in the General Meeting electronically on the meeting website and to watch the meeting via video broadcast. Shareholders are given an opportunity to ask questions about items on the agenda before the General Meeting. The option to participate in the General Meeting and exercise the rights using electronic means without physically attending the General Meeting via secure electronic means is provided in the Articles of Association.

The list of shareholders entitled to participate in the General Meeting is determined based on the share register seven days before the General Meeting.

In 2025, the Annual General Meeting was held on 26 March 2025. The agenda included the approval of the annual report for 2024, the profit distribution for the 2024 financial year, and the payment of dividends; the approval of the amendments to 2020–2024 share option program, the approval of the 2025–2029 share option program, and also the conditions of

performance pay payable to the management members and equivalent staff of LHV Group and its group companies. The amendments to the Articles of Association and conditions of the acquisition of LHV's own shares were also approved. Under this authorization, which is valid for up to five years, LHV Group may acquire its own shares to execute approved share option programs, provided that the total nominal value of own shares does not exceed 10% of the share capital. Acquisitions are executed under market conditions on the Nasdaq Tallinn Stock Exchange and are conditional upon the consent of the European Central Bank. In accordance with this, LHV Group acquired 2,099,703 of its own shares between 13 May and 31 December 2025, for a total consideration of EUR 7,270,500, at a weighted average price of EUR 3.46 per share. In addition, an overview was given of the financial results of the first two months of 2025 and the financial forecast for the next five years at the Annual General Meeting. No extraordinary General Meetings were held in 2025.

The Annual General Meeting in 2025 was held in Estonian and chaired by Daniel Haab, the Head of Legal of LHV Pank, who introduced the procedure for conducting the General Meetings and the procedure for asking the Management Board questions regarding the company's activities.

The Annual General Meeting was attended by Madis Toomsalu, the Chairman of the Management Board as at the date of the meeting, and Rain Lõhmus, the Chairman of the Supervisory Board. Members of the Management Board Meelis Paakspuu, Jüri Heero and Kadri Haldre and members of the Supervisory Board Tiina Möis, Raivo Hein and Tauno Tats were also present. The other members of the Supervisory Board participated in the Annual General Meeting using electronic means. The external auditor, Lauri Past (PwC), was present as well.

No shareholders of LHV hold shares which would grant them special control or voting rights. LHV is not aware of any

⁸ Disclosed in line with the disclosure requirement related to ESRS G1 GOV-1, paragraph 5a, and covered with independent practitioner's limited assurance report on AS LHV Group Consolidated Sustainability Statement.

agreements between shareholders regarding coordinated exercise of shareholder rights.

The shareholders with significant influence are Rain Lõhmus and persons related to him, who hold 20.94% of share capital as of 31 December 2025 in aggregate and Andres Viisemann and persons related to him, who hold 10.94% of share capital as of 31 December 2025 in aggregate.

5.2 Management Board⁹

5.2.1 Composition and duties of Management Board

The Management Board is the governing body representing and managing LHV. The members of the Management Board are elected and removed by the Supervisory Board. To elect a member of the Management Board, the candidate's written consent is required. Only a person who has sufficient knowledge and experience to participate in the work of the Management Board and to fulfil the duties of a member of the Management Board and who meets the requirements arising from LHV's Articles of Association, Terms of Reference of the Management Board and other internal regulations, and legislation, may be appointed as a member of the Management Board. Before appointment, the suitability of the person for the position is assessed in accordance with LHV's Rules of Suitability Assessment of Management Body Members, Management Bodies and Key Function Holders and the suitability assessment guidelines of the European Central Bank (ECB) and the joint ESMA and EBA Guidelines on the assessment of the suitability of members of the management body and key function holders under Directive 2013/36/EU and Directive 2014/65/EU, taking into account the specific nature of LHV's operations.

The Management Board members possess a diverse set of skills and experience, ensuring effective governance and leadership in business conduct matters. To maintain high standard, set for management bodies of credit institutions and listed companies, regular training sessions are organized, equipping members with the knowledge necessary to address the challenges of a constantly evolving business environment. These initiatives ensure that the Management Board remains well-prepared to fulfil its responsibilities and adapt to emerging trends. The expertise of the Management Board is assessed as both sufficient and up to date, reflecting its commitment to continuous professional development, as evaluated through a suitability assessment conducted by LHV in compliance with applicable legal requirements. The Management Board combines strong expertise in banking and investments with extensive management experience and a deep understanding of credit institutions. They bring a global perspective and strengths in IT, financial outcomes, and risk management, including anti-money laundering and anti-financial crime, cybersecurity, ESG, compliance, and operational continuity. Their proven ability in capital raising and transparent communication builds trust among clients and investors, ensuring reliable leadership and alignment with LHV's strategic goals¹⁰. For more information on Management Board members professional profile please see section Governance of the Group above.

According to the Articles of Association of LHV, the Management Board has one to five members. A member of the Management Board is appointed for a term of up to five years. The extension of the term of office of a member of the Management Board may not be decided earlier than one year before the scheduled expiry of the term of office or for a period exceeding the maximum period permitted by law or the Articles of Association. If the Management Board of LHV has more than two members, the Supervisory Board appoints the chairman of the Management Board. The chairman of the Management

Board organises the work of the Management Board. The Supervisory Board may remove a member of the Management Board regardless of the reason. A member of the Management Board may resign from the Management Board, regardless of the reason, by informing the Supervisory Board. The rights and obligations arising from a contract entered with a member of the Management Board expire in accordance with the contract.

The Management Board of LHV has four members, and as of 22 July 2025, the Management Board consists of the following members: Mihkel Torim (the Chairman of the Management Board, CEO), Meelis Paakspuu (responsible for financial management function, CFO), Kadri Haldre (responsible for risk management function, CRO) and Jüri Heero (responsible for IT operations, IT development and information security functions, CIO). Madis Toomsalu's term as the Chairman of the Management Board ended as of 21 July 2025, and Mihkel Torim was appointed as a new Chairman of the Management Board and the CEO of LHV, with his term commencing on 22 July 2025.

The Supervisory Board has established the terms and condition and decided the conclusion of contracts with the Management Board members. The Supervisory Board determines inter alia the remuneration principles of the members of the Management Board and compensation for early termination of the contract. The term of office of Mihkel Torim expires on 22 July 2030 and the terms of office of Meelis Paakspuu and Jüri Heero expire on 31 March 2027, and Kadri Haldre's term expires on 18 November 2029.

The Management Board makes everyday management decisions at its own discretion and in the best interests of LHV and its shareholders, putting aside personal interests. The duties of a member of the Management Board include day-to-day management of LHV, representing the company, managing LHV's operations in foreign markets and communicating with investors, coordinating the development

of LHV's strategy and implementing the strategy. The right of representation specification of the members of the Management Board resulting from the Articles of Association of LHV has also been entered in the Commercial Register: the chairman of the Management Board alone or two members of the Management Board jointly may represent LHV in transactions.

The Management Board ensures that LHV has risk management and internal control systems appropriate for its operations and business area. LHV's internal control system covers all activities carried out by LHV's Supervisory Board, management, and employees to ensure efficiency of operations, adequate risk management, reliability and accuracy of internal and external reporting and unconditional compliance with all laws and regulations. The internal control system covers all business, support, and control units.

The objectives of risk management within LHV are to identify, correctly quantify and manage risks. The wider objective of risk management is to increase the value of the company by minimising losses and reducing volatility of results.

LHV's risk management is based on a strong risk culture and follows the principle of three lines of defence. The first line of defence, i.e., represented mainly by the business lines, alongside other support functions, is responsible for risk-taking and daily risk management. The second line of defence, i.e., the risk management function and the compliance function, including the AFC compliance function, is responsible for ownership, continuous review, and implementation of a risk management framework. The third line of defence, i.e., the independent internal audit function, exercises supervision over the entire organisation, i.e., reviews, through conducting internal audits, the internal governance arrangements, processes, and mechanisms to ascertain that they are sound, effective, implemented and consistently applied.

⁹ Disclosed in line with the disclosure requirement related to ESRS G1 GOV-1, paragraph 5a, and covered with independent practitioner's limited assurance report on AS LHV Group Consolidated Sustainability Statement.

¹⁰ Disclosed in line with the disclosure requirement related to ESRS G1 GOV-1, paragraph 5b, and covered with independent practitioner's limited assurance report on AS LHV Group Consolidated Sustainability Statement.

The responsibilities of the Management Board members of LHV are clearly defined to ensure effective governance and operational success:

- Chief Executive Officer (CEO): Coordinates and performs the functions of Chief Technology Officer, Head of Investor Relations and Corporate Development, Service Manager, Marketing Manager, Communications Manager, Head of Human Resources.
- Chief Risk Officer (CRO): Provides independent oversight of material risks across LHV and is responsible for managing key management processes: Credit Risk, Portfolio Risk and Reporting, Financial Risk and Stress Testing, Non-Financial Risks, Modelling and Validation, Financial Crime Prevention Compliance, Compliance, and Regulatory Affairs.
- Chief Financial Officer (CFO): Coordinates and performs the functions of Treasury Manager, Chief Accountant, Head of Managerial Accounting, External Reporting Manager, Data Area Manager, Data Governance Team Lead, Head of Legal Department, and Head of ESG.
- Chief Information Officer (CIO): Coordinates and performs the functions of Head of IT (infrastructure and internal services, including IT support and physical security) and Information Security Manager.

These distinct areas of responsibility ensure that the Management Board operates efficiently and supports LHV's mission, vision, and strategic objectives¹¹.

5.2.2 Principles of remuneration of the Management Board

The purpose of LHV's remuneration principles is to provide fair, motivating, transparent and lawful remuneration.

The authority to determine the remuneration principles and remuneration of the Management Board is vested in the Supervisory Board. The Remuneration Committee reviews the basis of the remuneration of the Management Board on an annual basis. In assessing the activities of the Management Board, the Remuneration Committee considers, above all, the duties and activities of the members of the Management Board as well as LHV's financial position, the status and outlook of business operations in comparison with other companies operating in the same sector.

The remuneration payable to a member of the Management Board, including the options programme, must motivate the person to act in the best interests of LHV and to avoid a situation of conflict of interest by refraining from acting in the personal or other interests. The basic salary and remuneration principles of the members of the Management Board are set forth in the Management Board member contracts concluded with them. The principles of remuneration of the members of the Management Board engaged in internal control and risk management must ensure their independence and objectivity in the performance of their risk management / internal control duties. The remuneration of those people must not depend on the results of the areas under their supervision. The goals set must be described at an individual level.

In setting the key quantitative and qualitative performance indicators and risk assessment metrics, LHV is governed by the following principles:

- The performance criteria developed by LHV must not stimulate excessive risk-taking or sale of inappropriate products.
- The performance criteria must not consist only of performance efficiency indicators (e.g., profit, revenue, return, costs, and volume indicators) or market-based indicators (e.g., share price or bond yield) but must be adjusted for risk-based indicators (e.g., capital adequacy, liquidity).
- The criteria used for measuring risks and results must be as closely as possible related to the decisions of the member of the Management Board whose results are being appraised, and they should ensure that remuneration is determined in a way that has the desired impact on the Management Board member's behaviour.
- The performance criteria must be developed by ensuring a good balance between quantitative and qualitative as well as absolute and relative criteria.
- The quantitative criteria must cover a period that is sufficiently long to take into account the risks taken by the member of the Management Board or units they are responsible for, and they should be risk-adjusted and contain economic efficiency indicators.
- The examples of qualitative criteria include achievement of strategic objectives, customer satisfaction, adherence to the risk management policy, compliance with internal and external regulations, management skills, teamwork, creativity, motivation and cooperation with other business units and the internal control function.

LHV applies a long-term incentive plan (LTI plan), i.e., an option programme. The basic salaries of Management Board members, top management and key personnel included in the option programme (including staff members considered equal to Management Board members) are added an annual performance pay the amount and disbursement of which depend on the achievement of individual targets and LHV's targets. The lower limit of performance pay, approved by the shareholders, is EUR 0 and the upper limit is 200% of the annual remuneration. As a rule, if the financial plan is met, options will be granted to the extent of 2% of the total number of LHV shares. The bases for assigning performance pay through the options programme must be objective and justified and pre-determine the period for which performance pay is paid. The performance pay instruments consist fully of share options.

Severance compensation payable to members of the Management Board is related to their previous performance. No severance compensation is paid if this would damage the interests of LHV. The size of the severance compensation must correspond to the results achieved over time and to the remuneration received.

The Chairman of the Management Board of LHV, Mihkel Torim was paid a monthly remuneration of EUR 16 thousand, i.e., his annual remuneration in 2025 starting from his appointment (22 July 2025) was EUR 85.6 thousand under his Management Board member contract. The former Chairman of the Management Board of LHV, Madis Toomsalu was paid a monthly remuneration of EUR 19 thousand, i.e., his annual remuneration in 2025 until the end of his term (21 July 2025) was EUR 127.2 thousand under his Management Board member contract. Management Board member Meelis Paakspuu was paid a monthly remuneration of EUR 15 thousand, i.e., his annual remuneration in 2025 was EUR 180 thousand under his Management Board member contract. Management Board Member Jüri Heero was

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paid a monthly remuneration of EUR 14 thousand, i.e. an annual remuneration in 2025 EUR 168 thousand under his Management Board member contract. Kadri Haldre was paid a monthly remuneration of EUR 12 thousand from January to June 2025 and a monthly remuneration of EUR 14 thousand from July 2025, resulting in an annual remuneration in about EUR 156 thousand for 2025, under her Management Board member contract. The Management Board members are not entitled to any additional remuneration, bonuses or benefits for performing the duties of the Management Board members of LHV other than the LHV's Option Programme approved by the Annual General Meeting of Shareholders of LHV Group resolution on 13 March 2020, on the basis of which the pre-emptive right to subscribe new shares in LHV belongs to the management and equivalent staff as well as key employees of LHV and group companies designated by LHV's Supervisory Board, with whom LHV Group has concluded relevant options agreements.

According to the options agreements concluded under the Option Programme, the former Chairman of the Management Board, Madis Toomsalu is entitled to subscribe for, as performance pay, a total of 749,611 LHV shares under the options granted in 2023, 2024 and 2025. The current Chairman of the Management Board, Mihkel Torim is entitled to subscribe for, as performance pay, a total of 199,575 LHV shares under the options granted in 2024 and 2025. Meelis Paakspuu is entitled to subscribe for, as performance pay, a total of 544,130 LHV shares, and Jüri Heero is entitled to subscribe, as performance pay, a total of 382,291 LHV shares under the options granted in 2023, 2024 and 2025. Kadri Haldre, is entitled to subscribe, as performance pay, a total of 71,568 LHV shares under the options granted in 2023 and 2024, she was not issued options in 2025.

5.2.3 Conflicts of interests

The Management Board submits a declaration of economic interests once a year. There have been no conflicts of interest; accordingly, no corrective measures have been applied.

Transactions between LHV and the Management Board, their close family members or persons related to them, and the terms of these transactions must be approved by the Supervisory Board prior to the transaction taking place. In 2025, there were no such transactions between the members of the Management Board, their close family members, or related persons and LHV, nor are there any valid contracts of that nature from earlier periods. The Management Board members have no shareholdings above 5% in other companies who are LHV's business partners, suppliers, clients or other related companies.

None of the Management Board members of LHV are Management Board members or Supervisory Board members at any other company whose shares have been admitted to trading on a regulated market operating in Estonia. The Management Board members have not been granted the authority to issue or buy back shares of LHV.

5.3 Supervisory Board¹²

5.3.1 Composition and duties of Supervisory Board

The Supervisory Board is a governing body of LHV which plans the activities of LHV, organises the management of LHV and conducts supervision over the activities of the Management Board. The Supervisory Board determines and regularly reviews LHV's strategy, the general action plan, risk management principles and the annual budget. The Supervisory Board has five to seven members. The members of the Supervisory Board are appointed for a term of up to three years. The members of the Supervisory Board elect from among themselves the chairman of the Supervisory Board, who organises the activities of the Supervisory Board. The authority to elect, recall and to extend the mandate of the Supervisory Board members is vested in the General Meeting.

Only a person who has sufficient knowledge and experience to participate in the work of the Supervisory Board and to fulfil the duties of a member of the Supervisory Board and who meets the requirements arising from the Articles of Association, Terms of Reference of the Supervisory Board and other internal regulations, and applicable legislation, may be elected as a member of the Supervisory Board. Before appointment, the suitability of the person for the position is assessed in accordance with LHV's Rules of Suitability Assessment of Management Body Members, Management Bodies and Key Function Holders and the suitability assessment guidelines of the European Central Bank (ECB) and the joint ESMA and EBA Guidelines on the assessment of the suitability of members of the management body and key function holders under Directive 2013/36/EU and Directive 2014/65/EU, taking into account the specific nature of LHV's operations.

The Supervisory Board members bring a range of knowledge and expertise, enabling through oversight and governance of business conduct matters. To ensure their effectiveness and maintain a high standard set for management bodies of credit institutions and listed companies, members participate in training sessions tailored to address emerging challenges and evolving governance standards. In 2025 no separate central training sessions were organised; instead, members received relevant overviews on specific topics during the Supervisory Board meetings. These professional development activities help maintain and enhance the Supervisory Board's ability to provide effective supervision. The expertise of the Supervisory Board has been assessed by LHV through a suitability evaluation, confirming that it meets the required standards of sufficiency and relevance in compliance with applicable legal requirements. The Supervisory Board brings extensive expertise in banking, investment, and financial performance, along with a strong awareness of business risks. Members contribute individual vision, a commitment to transparency, entrepreneurial experience, IT knowledge, capital-raising success, and international perspectives. Regular meetings further strengthen their oversight¹³. For more information on Supervisory Board members' professional profile please see section Governance of the Group above.

As of 31 December 2025, the members of the Supervisory Board of LHV are Rain Lõhmus (the Chairman of the Supervisory Board), Andres Viisemann, Tiina Mõis, Raivo Hein, Tauno Tats and Liisi Znatokov. The term of office of Supervisory Board members lasts until 29 March 2026, except for Liisi Znatokov, whose term of office will end on 20 March 2027. Heldur Meerits, the former Supervisory Board member, passed away in October 2025.

In 2025 the Supervisory Board had nine ordinary meetings, one extraordinary meeting and on six occasions decisions were adopted electronically. During the year, five members

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of the Supervisory Board (Rain Lõhmus, Raivo Hein, Tiina Mõis, Andres Viisemann and Liisi Znatokov) participated in all Supervisory Board meetings and one member (Tauno Tats) was absent from one meeting. In October, the Supervisory Board mourned the loss of Heldur Meerits, as a long-serving and valued member, his contributions and guidance were highly appreciated. In addition to its scheduled meetings, the Supervisory Board passed six resolutions through electronic voting. In four of these votes, all members of the Supervisory Board participated. For the remaining decisions, there were instances of abstention and opposition, reflecting the Supervisory Board's thorough consideration of all matters. Four committees have been formed at the Supervisory Board level of LHV, which are responsible for advising the Supervisory Board in matters related to audit, remuneration, the suitability assessment of management board members and key function holders and risk and capital management as described in subsection 5.4 of Corporate governance report.

In the framework of its meetings in 2025, the Supervisory Board received regular overviews of the operating and financial results of LHV Group and its subsidiaries, including LHV Pank, LHV Bank, LHV Varahaldus, LHV Kindlustus and LHV Paytech and the activities, development, and results of the related areas. Quarterly updates on risk management, compliance and audit activities, as well as in-depth reviews of key governance areas, were presented. A primary focus for the Supervisory Board was steering the Group's strategic direction and financial planning. At the beginning of the year, the Supervisory Board reviewed the 2024 financial results and approved the Group's budget for 2025. This forward-looking approach continued with the discussion of the Group's comprehensive strategy and five-year financial plan for 2026-2030, which included a negative scenario analysis to ensure resilience. In support of the Group's resolvability preparedness, the Supervisory Board also approved the amendments to the Bail-in Playbook and the Business Reorganisation Plan. Crucial oversight was provided for key strategic initiatives, including the restructuring of LHV Paytech

and an innovative on-chain project, ensuring these ventures were aligned with the Group's long-term objectives.

To support this strategic growth, the Supervisory Board made several key decisions to fortify the Group's capital base and financial strength. In February, it approved a significant AT1 bond issuance, followed by a decision to issue up to 80 million euros in Tier 2 subordinated bonds. Later in the year, it approved a capital increase for LHV Bank to support its continued expansion, as well as the issuance of MREL-eligible senior bonds. These measures were critical in ensuring the Group maintained a robust capital position to support its growth trajectory and withstand potential economic headwinds.

Enhancing the Group's governance and risk management architecture was a central and recurring theme. The Supervisory Board approved a series of foundational governance documents, including the updated Risk Management Policy and its Risk Taxonomy appendix, a new Model Risk Policy and the Group's Financial Reporting and Tax Handling Policy. A significant undertaking was the approval of a suite of revised group-level risk policies, including those for Capital Management, Credit, Liquidity and Funding, Market and Operational Risk, as well as the Policy on Prevention of Financial Crime and an updated ESG Risk Policy. A key milestone was the approval of the Group's Risk Appetite Statement in June, which was further refined with an updated version in the autumn that included the calibration of ESG-related risk appetite metrics.

In relation to financial stability and planning, the Supervisory Board focused on the 2025 Internal Capital and Liquidity Adequacy Assessment Processes (ICAAP/ILAAP), alongside approved in March the Capital Adequacy and Liquidity Adequacy Statements and later adopted the adverse scenarios for the 2026 ICAAP and ILAAP cycles. The 2025 Financial Recovery Plan was also approved. Through its diligent oversight of the Risk and Capital and Audit Committees, the Supervisory Board monitored compliance

with regulatory expectations, reviewed the outcome of the Supervisory Review and Evaluation Process (SREP) and approved the annual internal audit plan for 2025.

The Supervisory Board also devoted significant attention to leadership, organizational development and corporate responsibility. In June, a significant decision was made via electronic voting to appoint a new CEO for the Group. The Supervisory Board's focus on corporate responsibility was also evident in its approval of an updated Diversity Policy. In February a new share option program for 2025-2029 was discussed to align employee incentives with long-term shareholder value. These efforts were part of LHV Group's ongoing objective to maintain a robust organizational structure and governance framework, ensuring alignment with its strategic goals as a financial holding company.

5.3.2 Principles of remuneration of the Supervisory Board and conflicts of interest

The size of the remuneration of the members of the Supervisory Board and remuneration procedure is decided by the General Meeting, which considers, among other things, the duties of the Supervisory Board and their scope as well as the members' participation in the meetings and the activities of the Supervisory Board as a governing body. A member of the Supervisory Board may be assigned additional remuneration for participation in the activities of the Audit Committee or another body of the Supervisory Board.

The General Meeting has resolved to provide members of the Supervisory Board with a gross remuneration of EUR 1,500 per each ordinary meeting of the Supervisory Board in which the member participates. The remuneration is paid out on the next working day following the Supervisory Board meeting at the latest. No separate additional or performance payments, bonuses or benefits have been established.

In 2025, the total amount of remuneration paid to LHV's Supervisory Board members (including former member Heldur Meerits) for participation in Supervisory Board meetings was EUR 96 thousand, including all taxes, out of which four members (Rain Lõhmus, Andres Viisemann, Raivo Hein and Liisi Znatokov) received EUR 15 thousand each (participated in all meetings), two members (Tiina Mõis and Tauno Tats) received EUR 13.5 thousand each (were absent from one meeting), Heldur Meerits (deceased) received EUR 9 thousand (was absent from two meetings).

For reasons of clarity, LHV considers it important to note that for Supervisory Board member Andres Viisemann LHV applies the LTI plan, i.e., the option programme, based on his activity as the Head of Pension Funds at LHV's subsidiary LHV Varahaldus. The LTI instrument comprises fully of share options. Andres Viisemann is entitled to subscribe for 57,049 shares of LHV for the options issued in 2023. No options were issued to him in 2024 and 2025.

Once a year, the members of the Supervisory Board submit a declaration of economic interests and conflicts of economic interests. LHV did not conduct any significant transactions with its Supervisory Board members, their close family members or related parties in 2025, nor are there any valid contracts of that nature from earlier periods. There have been no conflicts of interest and accordingly, no corrective measures have been applied. The Supervisory Board members have no shareholdings above 5% in other companies who are LHV's business partners, suppliers, clients or other related companies.

5.4 Supervisory Board Committees

5.4.1 Audit Committee¹⁴

The Audit Committee is an advisory body formed by the Supervisory Board for exercising oversight over the effectiveness of accounting and reporting (including the budgeting process), audit, risk and capital management, the internal control system and internal audit as well as legal and regulatory compliance. The Audit Committee is governed in its activities primarily by the Auditors Activities Act and the rules of procedure established by the Supervisory Board of LHV.

The Audit Committee is supported in its oversight activities by the internal audit unit, led by the Head of Internal Audit, who provides regular reports to the Audit Committee, with reports submitted on a quarterly basis. The responsibilities of the Head of Internal Audit include ensuring that the analysis and assessment of compliance of activities with the objectives, rules of procedure, applicable laws, other legal acts, the rules of the regulated market, precepts of authorities, and agreements are carried out.

One of the responsibilities of the Audit Committee is to monitor and analyse the processes which must ensure the accurate and efficient preparation of monthly reports and annual accounts, the efficiency of the audit of the group companies' annual accounts, the independence of the audit firm and the auditor representing the audit firm on the basis of the law, and the compliance of their activities with the requirements of the Auditors Activities Act.

The Audit Committee is responsible for making proposals to the Supervisory Board and providing recommendations for the appointment or removal of the audit firm, the appointment or removal of the internal auditor, prevention or elimination of problems and inefficiencies within the organisation and

ensuring compliance with laws and regulations and with best practice.

The Audit Committee has at least three members. Members of the Audit Committee are appointed by the Supervisory Board for a term of three years in a manner that should ensure diversity of competences and independence of committee members. The persons selected for the Audit Committee must be sufficiently independent of LHV in order to fulfil their role effectively, and at least two of them must be experts in accounting, finance or law. LHV's employee, member of the Management Board, internal auditor, authorised signatory or audit service provider may not be a member of the Audit Committee. For the appointment of a member of the Audit Committee, the candidate's written consent is required. The size of remuneration paid to the members of the Audit Committee is decided by the Supervisory Board of LHV.

The members of the Audit Committee are Raivo Hein, Tauno Tats and Verner Uiibo (the Chairman). The term of office of the Audit Committee members lasts until 31 March 2026. Starting from October 2025 the fourth member of the Audit Committee was appointed by the Supervisory Board - Rain Lõhmus with his term of office being 18.09.2028. Further information on the members of the Audit Committee is presented in the section Governance of the Group above. LHV's Audit Committee members are paid a monthly gross remuneration of EUR 500 and the chairman of EUR 3,000.

According to its terms of reference, the Audit Committee meets at least quarterly, however, in 2025 the Audit Committee had twelve meetings. At six meetings, representatives of the Risk Management Department provided the members of the Audit Committee with an overview of various risk management topics, bank and group risk exposures, and the indicators and measures used to monitor and manage them, including matters related to

capital and solvency risk, credit risk management, financial crime risk, management of operational risk and specifically IT risks, ESG risk, management of liquidity and related risks, market risk (incl. interest rate) risk and compliance control.

In most meetings, the topics discussed included issues raised by the internal audit, particularly those related to audit reports. The internal auditor gave an overview of the concluded audits. The Audit Committee has reviewed all internal audit reports, discussed the observations raised and formed an opinion on them. Similarly Audit Committee has been presented with and discussed Internal Audit memos regarding mitigation actions for regulatory findings. At the first meeting of the year, the internal audit work plan for 2025 was approved and at the last meeting held in December inputs and instructions for the internal audit work plan for 2026 were discussed. The plan was approved in January 2026. In February meeting external auditor PwC presented the overview of the audit process and results of audit 2024 financial statements. Two additional meetings were attended by the external auditor (PwC). In October PwC provided an overview of the risk assessment, audit plan, team and schedule of the financial audit of 2025. At the December meeting, the external auditor presented the findings raised during the interim audit.

During the year, the Audit Committee confirmed and approved specific additional services to be provided by the external auditor. No conflicts of interest were identified.

Group Audit Committee also held a session in September with the Chair of Audit Committee of LHV Bank Ltd to exchange information about the matters discussed and opinions on their agendas during the previous year.

5.4.2 Remuneration Committee¹⁵

The Remuneration Committee is a body established by the Supervisory Boards of LHV, LHV Pank, LHV Finance and LHV Kindlustus for the development, implementation, and supervision of a remuneration strategy for the employees and members of the Management Board of the companies. One of the tasks of the Remuneration Committee is to evaluate the impact of any remuneration-related decision on compliance with the requirements established for the management of risks, own funds, and liquidity.

The Remuneration Committee exercises oversight over the remuneration of the Management Board members and employees of LHV, LHV Pank, LHV Finance and LHV Kindlustus, evaluates the implementation of the remuneration policy at least annually and, where necessary, makes proposals for updating the remuneration principles and prepares the related draft resolutions for the Supervisory Board.

The Remuneration Committee has at least three members who are elected from among the common members of the Supervisory Boards of LHV Group and LHV Pank. The members of the Remuneration Committee are appointed and removed by the Supervisory Board of LHV. A member of the Remuneration Committee is appointed for a term of three years. Members of the Remuneration Committee can be re-elected, and their mandate extended unlimited times. A person elected to the Remuneration Committee must have sufficient relevant knowledge, expertise, and experience in the area of remuneration policy and practices, risk management and control. The size of remuneration payable to the members of the Remuneration Committee is decided by the Supervisory Board of LHV. It has been decided to pay EUR 1,000 to the Chair of the Remuneration Committee and EUR 500 to each Remuneration Committee member, for each committee meeting attended with the effect from 1 April 2023.

¹⁴ Disclosed in line with the disclosure requirement related to ESRS G1 GOV-1, paragraph 5a, and covered with independent practitioner's limited assurance report on AS LHV Group Consolidated Sustainability Statement

¹⁵ Disclosed in line with the disclosure requirement related to ESRS G1 GOV-1, paragraph 5a, and covered with independent practitioner's limited assurance report on AS LHV Group Consolidated Sustainability Statement.

Members of LHV's Remuneration Committee are Tiina Möis (the Chairman), Rain Lõhmus and Andres Viisemann, whose term of office lasts until 22 March 2026. Further information on the members of the Remuneration Committee is presented in the section Governance of the Group above.

In 2025, met two times, in January and December. In January, the committee reviewed and updated the Remuneration Policy. The Remuneration Systems of LHV Pank, LHV Kindlustus, and LHV Finance, the Material Risk Takers List for 2025, and the 2024 Remuneration Report for the Management Board of LHV Group were approved. The market comparison and planned positions for 2025, and the annual targets and remuneration of Management Board members were also discussed. The committee proposed to the Supervisory Board the recipients and amounts of share options to be granted for the results of 2024 (the LTI plan) and approved the proposal for pricing of the share options. The committee also reviewed the ex-post risk adjustment process related to the exercise of share options granted in 2022 and approved the retention of options for employees whose contracts had been terminated. Additionally, the committee approved the proposal for exercise of share options for 2025. At its December meeting, the committee's primary focus was the detailed analysis of the Q12 employee survey results. The committee also conducted its annual review of its Terms of Reference and received a brief overview of the remuneration principles. All recommendations and proposals from the Remuneration Committee were submitted to the Supervisory Board for approval, ensuring alignment with LHV Group's governance and strategic frameworks.

5.4.2.1 Remuneration policy

The remuneration principles for LHV and its affiliated companies (Group companies) are described in the internal remuneration policy.

There are no regional differences in the remuneration principles of the Group companies. The most significant differences between the Group companies are that LHV Varahaldus and LHV Paytech do not have a remuneration committee and are subject to specific disclosure requirements and LHV Bank applies rules arising from its country of operations.

The purpose of the remuneration principles within the Group companies is to ensure fair, motivating, and transparent compensation in compliance with the law. A key objective is to attract employees with the skills, experience, and capabilities necessary to execute the company's strategy, while aligning the interests of employees and shareholders, motivating staff, and managing risks effectively as the business grows. LHV employee remuneration typically includes a base salary and a performance bonus. When hiring, the Group companies compare a new employee's salary with those in similar roles within the company and the market average for the relevant job group, ensuring competitive and fair compensation. The Group companies do not provide employer-funded contributions to third pillar pension funds or offer benefits like company cars, mobile phones, or laptops for personal use.

The general remuneration strategy is to ensure a motivating pay to achieve long-term goals, creating a strong link between remuneration and the financial results of the Group companies. When measuring the key quantitative and qualitative results and assessing the risk, the Group companies are governed by the following principles:

- The performance criteria are in line with sound and effective risk management principles. The performance criteria established must keep in mind the long-term interests of the Group companies and not stimulate excessive risk-taking or the sale of unsuitable products.
- The performance criteria must not merely contain performance efficiency indicators (e.g., profit, revenue, profitability, expenditure, and volume indicators) or market-based indicators (e.g., stock price or bond yield) but must also be adjusted with risk-based indicators (e.g., capital adequacy, liquidity).
- The criteria used for measuring risks and results must be as closely as possible related to the decisions of the staff member whose results are being appraised and should ensure that the process of determining the remuneration would have an appropriate impact on the staff member's professional behaviour. In the interest of long-term goals, the assessment and control of risk behaviour will take place at an individual employee level.
- A good balance of both quantitative and qualitative as well as absolute and relative criteria must be used for specifying the performance criteria.
- Quantitative criteria must cover a sufficient period to allow consideration of the risks taken by the staff members or business units. The criteria must be risk-adjusted and contain economic efficiency indicators.
- Examples of qualitative criteria include achievement of strategic objectives, customer satisfaction, adherence to the risk management policy, adherence to internal or external rules of procedure, management skills, creativity, motivation and cooperation with other business units and the internal control function.

The recruitment strategy is to find, engage and keep the best people in the labour market. In determining remuneration, the Group companies are willing to make exceptions rather

than restrict its choices with strict remuneration intervals for a specific position, while keeping in mind fair pay for the role. In determining remuneration, the following is considered:

- employee dedication, results, and initiative;
- the possibility of replacing job positions with technological solutions;
- workload, quality, and intensity;
- scope of responsibility, required educational level, and critical importance of the position;
- management performance in accordance with the company's strategic objectives;
- the ability to use technology in managing the field;
- availability of additional benefits, labour market situation, and average salary level of the geographical location.

The determination of the amount of remuneration must be objective. The remuneration is paid according to the work done and its value, not according to the personality, gender, age, origin, etc. of the employee.

Employees should not transfer the downside risks, incl. malus and clawback, to a third party by any means, e.g. hedging and insurance. In the decisions concerning the remuneration policy, the financial situation and sustainability of the capital base of the Group companies are considered.

The Group companies carry out regular self-assessment, the purpose of which is to identify all employees whose professional activities affect or may significantly affect the risk profile of the Group companies. These specified groups of employees are listed in the table below together with ratios between basic and variable remuneration paid in 2025:

Basic and variable remuneration ratio of group of employees who affect the Group's risk profile, as at 31 Dec 2025 and 31 Dec 2024

	2025	2024
Senior management	0.63	0.71
Staff performing control functions	0.21	0.19
Employees with significant impact on the credit risk position (the nominal value of transactions made by the employee is at least 0.5% of LHV Tier 1 own funds and amounts to at least EUR 5 million)	0.74	0.62

Self-assessment is carried out once a year at the beginning of the financial year. The assessment covers the past period (including financial results, risk analysis) and considers the forthcoming financial year. The identified employees during the self-assessment are required, within a period of one calendar year after exercising the options, to maintain ownership of the relevant LHV shares, and not to transfer or encumber (including pledge) them in any form. The identified employees are forbidden to transfer the risk of impairment of shares to another party, for example, through insurance or certain types of financial instruments. The self-assessment takes account of the degree of responsibilities and decision-making power, as well as qualitative and quantitative performance indicators. The analysis is conducted by the management board of the Group company in the form of a discussion at a management board or board (LHV Bank) meeting. The self-assessment is initiated by the People Management Department, the compliance of the process and results are assessed by the Compliance Department, whose representative is also present at the self-assessment. The Remuneration Committee reviews annually the qualitative and quantitative criteria related to the employee and the self-assessment process, which are used for decision-making.

The results of the self-assessment are independently reviewed by the Internal Audit Department. The results are summarised and presented to the supervisory boards of the relevant Group companies.

Share options

In 2020, LHV shareholders approved a result-based share option programme for the Management Boards, equivalent staff, and key employees of LHV and the group companies to be implemented from 2020 until 2024. On 26 March 2025, the General Meeting of Shareholders approved amendments to the 2020–2024 programme and established a new share option programme for the years 2025–2029. Based on the amended terms, the recipients and amounts of share options for the 2024 results were determined in 2025, and the new programme will govern future grants.

The following principles formed the basis for the share option programme covering the years 2020–2024, which was amended by the General Meeting of Shareholders on 26 March 2025 to finalize the grants for the 2024 results.

Share options are a form of result-based remuneration compensation, and their granting is based on long-term interests and the achievement of agreed-upon results. The objectives must take into account capital requirements, liquidity, and risk management, including sustainability criteria. Remuneration is paid only when objectives are met, and no compensation is paid for below-expectation results.

The objectives of the programme are:

- ensure competitive remuneration to be attractive in the labour market;
- retain and motivate key personnel by creating a sense of ownership;
- align the interests of shareholders and employees;

- increase company value through performance management;
- promote sound and effective risk management, including the consideration of sustainability risks.

The instruments of remuneration under the option programme are 100% equity options. The term of share options is at least 3 years from the moment the options were granted. An additional criterion applies to options issued to Management Board members as well as other identified staff whose professional activities have a material impact on the company's risk profile – they are not allowed to sell the shares acquired via the option programme for another year after executing the rights under option. The at least three-year vesting period before issuance of shares gives the opportunity to evaluate the results in the long run. It is not possible to receive the specified amount in cash in lieu of share options. Share options are issued annually as a percentage of the total number of LHV Group shares, as specified in the share option programme approved by the General Meeting of LHV Group shareholders. LHV has the right to refuse to issue shares to the entitled person, in whole or in part, if:

- LHV Group General Meeting or the Supervisory Board under instructions from the General Meeting does not adopt the decision on the increase of LHV share capital and issuance of shares;
- the Management Board member agreement or the employment relationship of the person entitled to receive options has ceased at the initiative of the person entitled to receive options or pursuant to § 88 of the Employment Contracts Act or, if the Employment Contracts Act is amended, on an analogous basis. However, based on the decision of the Supervisory Board it is possible to make exceptions to the applicability of this paragraph;

- the financial results of LHV or its relevant subsidiary have substantially deteriorated compared to the previous period;
- the person entitled to receive options no longer meets the performance criteria or does not meet the requirements imposed by law on the management or employees of a credit institution or a fund management company;
- LHV or its relevant subsidiary no longer meets the prudential regulations or the company's business risks are not adequately covered by own funds;
- the issuance of options has been determined based on information which has proven to be materially misstated or incorrect, or,
- the Financial Supervision Authority or another competent authority has issued a precept prohibiting the issuance of shares to the entitled person.

The share options have been issued annually from 2015 to 2025. In 2025, the options granted in 2022 were exercised. Future grants will be based on the new 2025–2029 option programme approved by the General Meeting of Shareholders on 26 March 2025, which continues the practice of granting options with a three-year term.

The issuance and amount of share options were dependent upon the successful achievement of operational targets of the overall company and the targets of individual Management Board members and employees. In 2025, share options were granted to 264 people in the amount of EUR 7,874 thousand. In 2024, share options were granted to 227 people in the amount of EUR 6,236 thousand. In 2023, share options were granted to 181 people in the amount of EUR 5,928 thousand.

The share options issued in 2023 can be exercised between the period from 1 April 2026 to 30 April 2026 and shares with the nominal value of EUR 0.1 can be acquired for EUR 1.70

per share. The share options issued in 2024 can be exercised between the period from 1 April 2027 to 30 April 2027 and shares with the nominal value of EUR 0.1 can be acquired for EUR 1.74 per share. The share options issued in 2025 can be exercised between the period from 1 April 2028 to 30 April 2028 and shares with the nominal value of EUR 0.1 can be acquired for EUR 1.63 per share.

Expenses related to share option program in 2025 amounted to EUR 6,961 thousand (2024: EUR 6,809 thousand).[

5.4.3 Nomination Committee¹⁶

The purpose of the Nomination Committee is to support the Supervisory Boards of LHV, LHV Pank and LHV Finance in matters related to the selection process and eligibility requirements for the members of the Management Boards, Supervisory Boards and the key function holders (if applicable) of the mentioned companies. The responsibilities of the Nomination Committee include individual assessment of the suitability of candidates for members of governing bodies and key function holders, collective suitability assessment of governing bodies, assessment of the composition, structure and activities of the governing bodies, continuous monitoring of the decision-making process by the governing bodies, periodical review and decision-making on the content, format and frequency of the risk information received, ensuring the involvement of Risk Management, Compliance, Internal Audit and other department managers where appropriate in relevant matters. Inter alia, the Nomination Committee is guided by the Diversity Policy in its activities, which relies on overarching principles stated with the ECB's guide to fit and proper assessments and EU directive on gender balance on corporate boards. As a result, it has been concluded that Tiina Mõis is a member of the Supervisory Board of LHV, also the Chairman of the Remuneration Committee and the Nomination Committee, Liisi Znatokov is a member of the Supervisory

Board and Chair of the Risk and Capital Committee and Relika Mell is a key function holder as the Head of Internal Audit in LHV, in addition LHV's Estonian subsidiaries employ a total of 157 middle-level managers of whom 88 are women; and there are 12 Management Board members including 5 women.

The Nomination Committee is comprised of at least three members, who are selected from among the common members of the Supervisory Boards of LHV and LHV Pank. The persons elected to the Nominating Committee must have, individually and collectively, sufficient and relevant knowledge, expertise, and experience in the area of the selection process and eligibility requirements, including knowledge of the requirements provided in the EBA and ESMA guidelines for assessing the suitability of members of management bodies and key function holders. The responsibilities, rights and operating principles of the committee and the remuneration of committee members are decided by the Supervisory Board of LHV.

Tiina Mõis (the Chairman), Rain Lõhmus and Andres Viisemann are the members of the Nomination Committee, and their term of office lasts until 22 March 2026. Further information on the members of the Nominating Committee is presented in the section Governance of the Group above. The size of remuneration payable to the members of the Nominating Committee is decided by the Supervisory Board of LHV. It has been decided to pay EUR 1,000 to the Chairman of the Nominating Committee and EUR 500 to the Nominating Committee member, for each committee meeting attended with the effect from 1 April 2023.

In 2025, two meetings of the Nomination Committee were held, one resolution was passed in written form and five resolutions were adopted electronically. In January, the committee assessed the individual and collective suitability of the Management Board, Supervisory Board and key function holders of LHV Group, LHV Pank and LHV Finance.

In May, the Nomination Committee focused on the subsequent election process for a new CEO of LHV Group. The committee assessed the individual and collective suitability of the prospective new Chairman of the Management Board of AS LHV Group, Chairman of the Supervisory Board and member of the Risk and Capital Committee of AS LHV Pank and prospective new Supervisory Board member of AS LHV Finance, Mihkel Torim. The suitability assessments and election processes were carried out to ensure compliance with regulatory requirements and alignment with LHV's strategic objectives.

Additionally, the committee approved the individual suitability assessment report of Mihkel Kasepuu, prospective Member of the Management Board and CTPO of AS LHV Pank, as well as the collective suitability assessment report regarding the prospective new composition of the Management Board of AS LHV Pank.

In August, the committee initiated the suitability assessment of Kairi Pauskar as a candidate for the Supervisory Boards of AS LHV Group and AS LHV Pank. Following the approval of her individual and the board's collective suitability assessments in November, the committee recommended that the Supervisory Board propose a motion to the shareholders. The proposal calls for the election of Kairi Pauskar as a new member of the Supervisory Board of AS LHV Group, succeeding Tiina Mõis. The final appointment is subject to shareholder approval at the Annual General Meeting.

All suitability assessments, updates and proposals were forwarded to the Supervisory Board for approval, ensuring robust governance and alignment with LHV Group's long-term goals.

5.4.4 Risk and Capital Committee¹⁷

The purpose of the Risk and Capital Committee is to perform supervision over the implementation of the risk management policy and the capital management policy on the LHV Group consolidated level, which includes the assessment of the aspects of risk, capital, liquidity and the probability and timing of revenue as well as the consideration of the business model and the risk management principles. The Risk and Capital Committee is responsible for the review of the reports prepared by the risk management department and the review and approval of all the risk limits, including the review of the company's internal liquidity adequacy assessment process (ILAAP), the internal capital adequacy assessment process (ICAAP), the recovery plan (RCP) and crisis resolution plan (RRP), and other significant risk related policies and for proposing these to the Supervisory Board for approval. The competence of the Risk and Capital Committee also includes the performance of supervision regarding LHV's investments, risks and capital management.

The members of the Risk and Capital Committee are selected from among the members of LHV's Supervisory Board. The persons elected to the Risk and Capital Committee must have the necessary knowledge, skills and experience to understand and continuously monitor the risk management principles and risk tolerance. The responsibilities, rights and operating principles of the committee and the remuneration of committee members are decided by the Supervisory Board of LHV.

As of 31 December 2025, Liisi Znatokov (the Chairman), Rain Lõhmus and Andres Viisemann are the members of the Risk and Capital Committee, and their term of office lasts until 31 March 2026, except for Liisi Znatokov, whose term lasts until 20 March 2027. Heldur Meerits served as a member of the Risk and Capital Committee until his passing in October 2025. Further information on the members of

¹⁶ Disclosed in line with the disclosure requirement related to ESRS G1 GOV-1, paragraph 5a, and covered with independent practitioner's limited assurance report on AS LHV Group Consolidated Sustainability Statement.

¹⁷ Disclosed in line with the disclosure requirement related to ESRS G1 GOV-1, paragraph 5a, and covered with independent practitioner's limited assurance report on AS LHV Group Consolidated Sustainability Statement.

the Risk and Capital Committee is presented in the section Governance of the Group above. The size of remuneration payable to the members of the Risk and Capital Committee is decided by the Supervisory Board of LHV. Until March 2025, remuneration was based on meeting attendance, with the Chair receiving EUR 1,000 and a member EUR 500 per meeting. In February 2025, the Supervisory Board approved revised principles to reflect the significantly increased workload following LHV's transition to direct ECB supervision. Effective from March 2025, the previous meeting-based compensation was replaced with a fixed monthly remuneration of EUR 3,000 (gross) for the Chair and EUR 500 (gross) for a member. This remuneration is unified with the Risk and Capital Committee of LHV Pank, and members serving on both committees receive a single compensation.

Throughout 2025, the Risk and Capital Committee dedicated its efforts to enhancing the Group's risk management framework, ensuring robust capital adequacy and overseeing regulatory compliance. The committee's work was central to navigating the evolving risk landscape and supporting the Group's strategic objectives. In total, the committee convened for nine ordinary and four extraordinary meetings to address its comprehensive agenda.

A primary focus for the year was the significant development of the Group's Risk Appetite Framework (RAF). In the early part of the year, discussions around the RAF were a constant feature, culminating in the approval of an updated Group Risk Appetite Statement in an extraordinary meeting in May. While the overarching framework remained under development, the committee confirmed the direction of ongoing adjustments. This work was complemented by the approval of amendments to the Risk Management Policy, including the Risk Taxonomy annex, and the Risk Appetite Policy in April, strengthening the Group's overall risk governance architecture.

In alignment with the revised RAF, the committee undertook

a comprehensive review of fundamental risk policies. During its June meeting, it reviewed amendments to the Capital Management Policy, Credit Risk Policy, Liquidity and Funding Risk Policy, Market Risk Policy, Operational Risk Policy, ESG Risk Policy and the Policy on Prevention of Financial Crime. This initiative ensured that the Group's core policies remain current, effective and aligned with its strategic direction and risk tolerance. The update for the Credit Risk Policy was also discussed in April, which included the need to further define restricted activities.

The committee also drove forward strategic initiatives, most notably in the integration of environmental, social and governance factors. This resulted in a new ESG Risk Policy, which was reviewed in June and an updated ESG Risk Management Framework. Another key strategic focus was the Group-wide data strategy, presented in August, which the committee welcomed, underlining the importance of clear ownership, transparency and consistency in data management.

Maintaining the Group's financial stability was a cornerstone of the committee's work. In March, it approved the Capital Adequacy Statement and Liquidity Adequacy Statement. Discussions on the Internal Capital and Liquidity Adequacy Assessment Processes (ICAAP/ILAAP) were held, with the committee recommending the ICAAP 2026 Adverse Scenario documentation to Supervisory Board approval in September. Furthermore, the committee supported updates to the Financial Recovery Plan and recommended the issuance of T2 Bonds to strengthen the capital base.

Regulatory oversight was a critical and continuous activity. The committee reviewed the EBA 2025 stress test exercise in March and later, in August, reviewed the results, which confirmed the Group's capital resilience under adverse conditions. In the latter part of the year, a significant emphasis was placed on the outcomes of the Risk Data Aggregation and Reporting (RDARR) on-site inspection. The committee

oversaw the development of action plans to address the findings, strengthen governance and ensure readiness for the upcoming SREP cycle.

From the beginning of the year, the committee addressed specific regulatory and resolvability matters. It reviewed updates and amendments to the Bail-in Playbook and the Business Reorganisation Plan, which were related to the LHV Resolvability 2024 Self-Assessment. This proactive stance ensured ongoing compliance and preparedness for various regulatory scenarios. The committee's diligent oversight and decisive actions throughout the year have reinforced the Group's resilience and supported its long-term, sustainable growth.

5.5 Governance Framework and Culture

5.5.1 Cooperation between the Management Board and Supervisory Board

The Management Board and Supervisory Board work in close cooperation to best protect the interests of LHV. The cooperation is, above all, based on an open exchange of views between and within the Management Board and the Supervisory Board.

The Management Board and the Supervisory Board collaborate in developing the goals and strategy of LHV. In managing LHV, the Management Board observes the strategic instructions of the Supervisory Board. The Management Board discusses strategic management issues with the Supervisory Board regularly, honestly, and openly. The Management Board is invited to participate in the monthly meetings of the Supervisory Board.

The Management Board regularly informs the Supervisory Board of all significant circumstances related to LHV's business planning, operations and performance, risk exposures and risk management.

There were no conflicts of interest in the financial year 2025 and accordingly, no corrective measures have been applied.

5.5.2 Corporate Culture and Ethical Governance¹⁸

LHV's corporate culture embodies its mission to improve access to financial services and capital, and its vision to inspire individuals and businesses to think ambitiously, explore innovative ideas, and take bold actions to achieve their goals. Anchored in its core values—simple, supportive, and effective—LHV establishes and nurtures its corporate culture through clear value-driven strategies and policies. The Human Resources Policy and value package for LHV employees play a central role in fostering employee growth, satisfaction, and alignment with organizational goals. These initiatives emphasize professional development, recognition, and a supportive work environment.

The governing bodies are responsible for establishing policies, including the Code of Ethics, which are mandatory for all employees. These policies are reviewed yearly, and if necessary, discussions are held in this regard to ensure they remain relevant and effective in promoting a strong corporate culture. Through this process, the Management and Supervisory Boards provide clear guidance to foster and uphold the organisation's values and ethical standards.

All managers (and employees) of LHV must behave ethically and responsibly and following the Code of Ethics is mandatory. LHV's Code of Ethics is the foundation of LHV's various internal regulations, including the Group Governance Policy and other procedures governing the specifics of adherence to the Code of Ethics. LHV also has an ESG Policy which clearly states and explains LHV's responsibility and commitment to social and environmental issues.

The organizational and operational setup of LHV is transparent, clear, and always current, to manage the

¹⁸ Disclosed in line with the disclosure requirements related to ESRG G1 G1-1, paragraphs 9 and 10g, and covered with independent practitioner's limited assurance report on AS LHV Group Consolidated Sustainability Statement.

group efficiently. This is ensured through clearly defined responsibilities, regular internal and external audits, periodic reviews of policies to maintain relevance, and continuous investment in training and development to ensure awareness of best practices and regulatory requirements. This approach ensures that internal control is separate from business operations, with enough division of responsibilities and the right resources for effective performance.

To promote its culture, LHV ensures that its values are integrated into daily operations, communications, and investor interactions. The organization consistently communicates its commitment to transparency, sustainability, and ethical conduct, reinforcing these principles across all levels of the company.

LHV evaluates its corporate culture through regular employee feedback (including satisfaction surveys), performance metrics, and alignment with strategic objectives. Satisfaction surveys gather insights into employees' views on the organization, management, their work, and personal motivation. This approach ensures that its culture evolves in response to internal and external changes, fostering long-term success for employees, clients, and shareholders while maintaining strong governance and adherence to ethical standards.

LHV's training policy, as outlined in the Human Resources Policy, emphasizes developing employees' competencies through planned training processes. Training targets all employees, with its scope and frequency determined by annual training plans that align with departmental needs and employee development goals. Training formats include in-house, outsourced, and e-learning options, ensuring flexibility and relevance.

Throughout the year, members of the Management Board of LHV group companies deliver on-site presentations as

part of the quarterly overview on financial topics, including LHV's goals and objectives. Additionally, LHV also arranges quarterly informational briefings, strategic discussions, and activity overviews led by area managers of LHV group companies. These sessions aim to provide employees with a comprehensive understanding of the company's culture, strategy, and performance. All such events can be attended in person, remotely, or accessed later via recordings.

All potential cases of conflicts of interest, bribery, financial crimes, unlawful activities, and corruption are carefully and responsibly managed. To encourage the sustainability mindset across all management levels and the organization, LHV:

- maintains a flat, non-hierarchical organizational structure to emphasize the importance of employees taking individual responsibility;
- continuously enhances the integration of ESG factors into everyday work, management style, recruitment processes, and strategy building;
- focuses on engagement and cooperation;
- recognizes the integration of ESG factors into business processes as a change management effort and understand the importance of collaboration to achieve our goals;
- works toward better analysing and reporting the ESG activities and progress and appropriately disclosing our metrics and achievements to regulators, partners, and the public;
- in order to ensure a transparent management culture, follows the 'Corporate Governance Recommendations' developed by the EFSA and the Nasdaq Tallinn Stock Exchange;

- aligns with the comprehensive reporting requirements of the Corporate Sustainability Reporting Directive (CSRD) has integrated sustainability goals as part of the annual targets into the result-based share option programme for the Management Board and equivalent staff as well as key employees;
- has integrated sustainability goals as part of the annual targets into the result-based share option programme for the Management Board and equivalent staff as well as key employees.

LHV does not engage in lobbying activities and does not directly or indirectly support any political organization¹⁹.

5.5.2.1 Whistleblowing Channel²⁰

LHV group companies have established an internal whistleblowing channel accessible through the intranet, enabling employees to confidentially report legal violations, unethical conduct, or behaviour that conflicts with internal rules, such as the Code of Ethics or other. The channel supports anonymous submissions, and all reports are directed to the Compliance department for impartial review and appropriate action.

The whistleblowing mechanism ensures the protection of employees who report in good faith, including anonymity if requested by the employee, and protection against discrimination and unfair treatment. Violations are handled comprehensively and objectively, with law enforcement and supervisory authorities being informed if necessary, and employees have been informed of their right to report outside the organization. Although specific training on whistleblowing has not been offered, LHV group companies highlight the availability of the whistleblowing channel during introductory

compliance training sessions. Information on the whistleblowing mechanism, including relevant documentation, is easily accessible to all employees via the intranet, supported by clear banners and links. In accordance with the content of the reported violation, investigations are also conducted in compliance with the Internal Fraud Prevention Procedure where discovery and handling processes are clearly defined. Investigations are managed independently by the internal control function, a second-line compliance function that operates separately from the management chain.

The outcomes of investigations, where applicable, are reported to the relevant governing bodies, ensuring transparency and accountability in the handling of such matters. This comprehensive framework supports LHV's commitment to ethical business practices.

5.5.2.2 Prevention and Detection of Corruption and Bribery²¹

LHV has established processes to prevent, detect, investigate, and address potential incidents of corruption or bribery, governed by mandatory internal rules accessible on the intranet. Employees are contractually obligated to review and adhere to these rules, with updates promptly communicated and confirmed through a dedicated system. New employees must also review and confirm their understanding of these rules upon joining.

While LHV does not have a specific anti-corruption or anti-bribery training program, the relevant topics are addressed within internal policies, which are mandatory for all employees.

LHV ensures transparency and integrity through detailed gift acceptance rules and established policies that uphold ethical behaviour, prevent conflicts of interest, and ensure the responsible use of LHV's resources. These policies have not

19 Disclosed in line with the disclosure requirement related to ESRS G1 G1-5, and covered with independent practitioner's limited assurance report on AS LHV Group Consolidated Sustainability Statement.
20 Disclosed in line with the disclosure requirements related to ESRS G1 G1-1, paragraphs 10a, 10c and 10e, and covered with independent practitioner's limited assurance report on AS LHV Group Consolidated Sustainability Statement.
21 Disclosed in line with the disclosure requirements related to ESRS G1 G1-1 (paragraphs 10a, 10b, 10g and 10h), G1-3 (paragraphs 18a, 18b, 18c, 20, 21a, 21b, 21c), G1-4 (paragraph 24a), and covered with independent practitioner's limited assurance report on AS LHV Group Consolidated Sustainability Statement.

been formally assessed against the United Nations Convention against Corruption, as there is no practical necessity for such an evaluation within the finance sector's rigorous regulatory framework, nor is there currently any plan to conduct such an assessment.

The whistleblowing mechanism, in accordance with the process described in the previous section, enables the reporting of any suspected incidents (including corruption and bribery), ensuring a structured process for identifying such cases.

LHV has not identified areas or functions within the organization that present a risk of corruption or bribery. The Conflict-of-Interest Policy, along with other internal policies, ensures robust oversight and governance, minimizing the potential for unethical practices across all functions. Additionally, a procedure has been established to prevent, detect, and resolve internal fraud, further strengthening LHV's commitment to ethical operations.

LHV has no confirmed incidents related to corruption or bribery.

5.5.3 Disclosure of information

5.5.3.1 Commitment to transparency and investor relations excellence

LHV treats all shareholders equally and notifies all shareholders of significant circumstances equitably, ensuring quick and equal access to relevant information. Information is disclosed in accordance with the rules established for publicly traded companies.

LHV contributes actively to the development of good relations with the investor community and to raising the awareness of investors. LHV has set up an investor relations website, where it makes all documents and information available to shareholders in accordance with the CGR and legal

requirements. LHV publishes monthly financial results as well as next-year and five-year financial forecasts. The website of LHV includes the financial calendar for the current and the next year, which outlines the publication dates of the annual report and interim reports and the date of the Annual General Meeting. The disclosed information is available on the website in Estonian, English and Russian. LHV also discloses its annual plans and monthly results in its stock exchange announcements. LHV's credit institution subsidiary, LHV Pank, is registered in the EU Transparency Register under the identification number 449511822591-64. None of the members of LHV's administrative, management, or supervisory bodies appointed during the reporting period held comparable positions in public administration (including regulators) in the 2 years preceding their appointment. Any such connections, if they arise, will be disclosed in future reports²².

LHV organises quarterly investor meetings and webinars, the summaries of which are available on LHV's website. Additional meetings with analysts and presentations and press conferences for analysts, investors or institutional investors are arranged when needed and if requested by stakeholder groups. On its website, LHV explains its goals, directions and opinions about possible trends and changes in the regulatory and business environment. LHV strives to be approachable, transparent, and accountable to investors. In 2019, 2020, 2023 and 2025 LHV was named the winner of the Nasdaq Baltic Awards – an award which recognises the best-performing Nasdaq Baltic-listed companies, considering the quality of investor relations and return on equity – in the main category Best Investor Relations. In 2025, AS LHV Pank was named the Stock Exchange Member of the Year, for the ninth time, for most actively contributing to capital market development initiatives.

5.5.3.2 Dividend policy

LHV's dividend policy, available on LHV's website, sets out the dividend distribution principles, according to which the key precondition for dividend distribution is sustainable compliance with both external and internal regulatory capital requirements. Depending on its growth and/or investment plans, LHV may decide not to pay a dividend. Provided the preconditions are met, LHV will distribute 25% of profit before taxes, attributable to LHV shareholders as dividends, income tax included.

5.5.4 Financial reporting and auditing

LHV publishes an annual report, which is audited, approved by the Supervisory Board and ultimately approved by the General Meeting.

The number of auditors is determined, and the auditors are appointed by the General Meeting, which also determines the auditors' remuneration procedure. The key criteria that the Audit Committee considers in making a proposal to the General Meeting for the appointment of an auditor include the 'auditor's prior experience in the financial services sector and auditing public interest entities, teamwork skills, expertise and ability to involve experts and, in the case of significant differences, the audit fee. Auditors are appointed for a single audit or for a specified term.

In 2025, the auditor provided the group companies with contractual services, including audits of the annual accounts of group companies and reviews of the profits reported in quarterly financial statements.

Transactions with related parties are disclosed in Note 23 to the financial statements.

In 2022, the Management Board and the Audit Committee organised a competition for selecting an auditor for the audit of the annual reports for the years 2024–2028. The four biggest internationally recognised audit firms were asked to submit their offers and meetings with their representatives were held. In selecting the auditor, the candidates' previous professional experience, competence, expertise, reliability, transparency of communication and terms offered compared to market terms as well as LHV's business-specific criteria were assessed. An invitation to participate was sent to the three largest audit firms and from the two firms that submitted an offer AS PricewaterhouseCoopers (PwC) was selected and appointed as the auditor of group companies for the financial years 2024–2028 at the Annual General Meeting of 2022.

²² Disclosed in line with the disclosure requirements related to ESRS G1 G1-5, paragraphs 29d and 30, and covered with independent practitioner's limited assurance report on AS LHV Group Consolidated Sustainability Statement.

In 2025, the fees paid or payable for the services provided by the auditor amounted to EUR 1,140 thousand of which EUR 769 thousand was for audits and EUR 372 thousand was for other services. Other services provided by auditors comprised of capital market transactions related services and other additional services required from auditors by applicable legislation.

5.5.5 Declaration of conformity

LHV complies with the CGR, except for the following instruction and recommendation for the reasons stated below:

‘3.2.2. At least half of the members of the Supervisory Board of the Issuer shall be independent. If the Supervisory Board has an odd number of members, then there may be one independent member less than the number dependent members.’

At present, the Supervisory Board of LHV includes one independent member (Liisi Zhatokov) in accordance with the features set out in the ‘Requirements of independence’ annex to the CGR. Due to the continuous active development and growth stage, LHV has so far preferred people with long-term management and banking experience as members of the Supervisory Board. Most of the current Supervisory Board members are also the largest shareholders of LHV. LHV believes that in their capacity as members of the Supervisory Board, the largest shareholders are best motivated to contribute to the management and long-term development of LHV. Based on objective and verifiable data, two of the current seven members of the Supervisory Board have significant ownership interests (Rain Lõhmus and related persons hold 20.94% of share capital and Andres Viisemann and related persons hold 10.94% of share capital). No member of the Supervisory Board has the power to appoint, by any means, the majority of the members of the Management Board or Supervisory Board of LHV or to control LHV in some other manner; they are not connected with LHV through a material business interest; they are not related to a shareholder of LHV that exercises control over LHV; they are not employees or business partners of LHV or members of the key personnel of a business partner. Accordingly, LHV has not considered it necessary to apply any corrective measures and considers the Supervisory Board of LHV in its present composition to be suitable, including in terms of independence. Furthermore,

when assessing the independence of the members of the Supervisory Board, it has been concluded that their behavioural skills include courage, conviction, and strength to effectively assess and challenge the proposed decisions of other members of the Supervisory Board and being able to resist group-thinking. In light of a vacancy and the upcoming expiry of terms of office on the Supervisory Board, LHV has initiated a search for additional independent members to further strengthen its governance.

6 Remuneration Report

This remuneration report has been prepared in accordance with the Estonian Securities Market Act and provides an overview of the remuneration paid to the Management Board of AS LHV Group (LHV Group) according to the remuneration principles approved by the 2022 General Meeting. In the context of the Estonian Securities Market Act, the managers of LHV Group are Mihkel Torim, the chairman of the Management Board, and Meelis Paakspuu, Kadri Haldre and Jüri Heero, the members of the Management Board. Until 21 July 2025, Madis Toomsalu served in place of Mihkel Torim. The remuneration principles of LHV Group are described in the internal remuneration policy of LHV Group, in the section Corporate governance report above and in the remuneration principles approved by the General Meeting.

6.1 Remuneration of members of Management Board

6.6.1 Overview

Under the terms of the contract of Management Board member concluded with LHV Group, Madis Toomsalu, the Chairman of the Management Board, was paid a monthly basic remuneration of EUR 19 thousand until his resignation on 21 July 2025. Under the terms of the contract of Management Board member concluded with LHV Group, Mihkel Torim, the Chairman of the Management Board, was paid a monthly basic remuneration of EUR 16 thousand starting from his appointment on 22 July 2025. The Management Board member Meelis Paakspuu was paid a monthly basic remuneration of EUR 15 thousand under his contract of Management Board member concluded with LHV Pank. The Management Board member Jüri Heero was paid a monthly basic remuneration of EUR 14 thousand under his contract of Management Board member concluded with LHV Pank. The Management Board member Kadri Haldre was paid a monthly remuneration of EUR 12 thousand from January until June 2025 and EUR 14 thousand from July 2025 under her Management Board member contract concluded with LHV Pank.

The amounts and payment procedure of the basic remuneration to the members of the Management Board were determined by resolutions of the Supervisory Board of LHV Group. According to the Management Board member contracts concluded with LHV Group and Meelis Paakspuu, Kadri Haldre and Jüri Heero), they do not receive any basic remuneration for the performance of duties of the Management Board members of LHV Group, as their performance is remunerated at the level of LHV Pank and when evaluating the performance of the members of the Management Board, the Remuneration Committee, which makes the associated suggestions to the Supervisory Board, considers among other factors the tasks and activities of

each member of the Management Board as a whole on the entire LHV Group level on a consolidated basis.

LHV Group implements a long-term incentive plan (LTI plan) for the payment of performance fees, i.e., the option programme, which has been approved by the Annual General Meeting of the shareholders. Mihkel Torim, Meelis Paakspuu, Kadri Haldre and Jüri Heero (and until 21 July 2025 Madis Toomsalu) are subject to the option programme approved by the resolution of the General Meeting of LHV Group of 13 March 2020. On 26 March 2025, this programme was amended and a new programme for the years 2025–2029 was established by the General Meeting. This option programme also sets out the conditions for reducing or cancelling options. In accordance with the resolutions of the Supervisory Board adopted on the basis of the above-mentioned option programme and the option contracts concluded with the Management Board members the Management Board members are entitled to subscribe shares of LHV Group.

As a result of the option programme, the Management Board members are subject to a retention period of at least one year from the date of exercise of the options, during which all of them undertake to hold the shares of LHV Group underlying the options in their ownership and not to transfer or encumber them in any form.

As options are granted for the results of the previous financial year, in 2025 options were granted for the results of 2024. Since the vesting period of options is at least three years from the grant date, the options granted in 2022 for the 2021 results were exercised in 2025. In 2025, the right to reduce or cancel options granted to the Management Board members under the option programme established by the shareholders was not exercised.

An overview of the key performance indicators, the remuneration paid to Madis Toomsalu, Meelis Paakspuu, Jüri Heero, Kadri Haldre and Martti Singi on a consolidated basis and the performance indicators of LHV Group over the last five financial years is presented in the table below, while other performance indicators are disclosed in the consolidated accounts of LHV Group:

Remuneration of the Management Board and employees of LHV Group						
(EUR thousand)		2021	2022	2023	2024	2025
Annual basic remuneration of the Management Board (gross)	Madis Toomsalu (until 21 July 2025)	156	189	192	222	127
	Mihkel Torim (from 22 July 2025)	-	-	-	-	86
	Meelis Paakspuu	120	153	156	176	180
	Kadri Haldre (from 18 November 2024)	-	-	-	18	156
	Jüri Heero	120	153	156	166	168
	Martti Singi (until 18 November 2024)	120	153	156	320	-
Remuneration of full-time employees (gross)		-	-	30	102	41.4 *
Annual performance pay granted to the Management Board	Madis Toomsalu (until 21 July 2025)	340,540 shares (EUR 288 thousand)	149,170 shares (EUR 312 thousand)	216,511 shares (EUR 378 thousand)	238,088 shares (EUR 384 thousand)	295,012 shares (EUR 444 thousand)
	Mihkel Torim (from 22 July 2025)	-	-	-	71,338 shares (EUR 115 thousand)**	128,237 shares (EUR 193 thousand)**
	Meelis Paakspuu	212,840 shares (EUR 180 thousand)	114,740 shares (EUR 240 thousand)	175,271 shares (EUR 306 thousand)	193,446 shares (EUR 312 thousand)	175,413 shares (EUR 264 thousand)
	Kadri Haldre (from 18 November 2024)	47,300 shares (EUR 40 thousand)**	30,600 shares (EUR 64 thousand)**	34,367 shares (EUR 60 thousand)**	37,201 shares (EUR 60 thousand)**	-
	Jüri Heero	191,550 shares (EUR 162 thousand)	114,740 shares (EUR 240 thousand)	175,271 shares (EUR 306 thousand)	96,723 shares (EUR 156 thousand)	110,297 shares (EUR 166 thousand)
	Martti Singi (until 18 November 2024)	191,550 shares (EUR 162 thousand)	114,740 shares (EUR 240 thousand)	175,271 shares (EUR 306 thousand)	96,723 shares (EUR 156 thousand)	-
Consolidated profit of LHV Group		60,263	61,432	140,938	150,304	117,005
Return on equity (ROE)		22.10%	16.40%	29.00%	24.50%	16.00%

*represents remuneration for the period starting from 23 July 2025

**related to results achieved in the previous role prior to becoming a Management Board member

LHV Group has signed one employment contract in July 2025. Other persons are performing official duties in LHV Group under their Management Board member contracts.

Mihkel Torim, Meelis Paakspuu, Jüri Heero and Kadri Haldre (and until 21 July 2025 Madis Toomsalu) were not granted any exceptions to, or exemptions from, the remuneration principles in 2025. They are not eligible to any financial benefits other than those described in this section for performing their duties in LHV Group and its subsidiaries.

6.1.2 Compatibility of remuneration with remuneration principles

According to the Management Board member contract concluded between LHV Group and the former Chairman of the Management Board of LHV Group, Madis Toomsalu, was paid an average monthly remuneration of EUR 19 thousand in 2025 as the basic remuneration until his resignation on 21 July 2025, which amounts to an annual basic remuneration of EUR 127.2 thousand. As a performance fee, Madis Toomsalu was granted the right to subscribe to a total of 295,012 shares of LHV Group in the amount of EUR 444 thousand in 2025. In 2025, Madis Toomsalu exercised his right for a performance fee for the results of the 2021 financial year according to the LTI plan and share option agreement concluded with him in 2022. He subscribed to all 149,170 shares granted to him as options in 2022 for the results of the previous financial year in the amount of EUR 312 thousand.

According to the Management Board member contract concluded between LHV Group and the Chairman of the Management Board of LHV Group, Mihkel Torim, appointed on 22 July 2025, was paid an average monthly remuneration of EUR 16 thousand in 2025 as the basic remuneration, which amounts to an annual basic remuneration of EUR 85.6 thousand. Considering Mihkel Torim's previous position as the Head of Investment Banking at LHV Pank, as a performance fee, he was granted the right to subscribe to

a total of 128,237 shares of LHV Group in the Considering Mihkel Torim's previous position as the Head of Investment Banking at LHV Pank, as a performance fee, he was granted the right to subscribe to a total of 128,237 shares of LHV Group in the amount of EUR 193 thousand in 2025 for his performance during the previous financial year.

According to the Management Board member contracts, Meelis Paakspuu was paid a monthly basic remuneration of EUR 15 thousand in 2025, which amounts to an annual basic remuneration of EUR 180 thousand. Jüri Heero was paid a monthly basic remuneration of EUR 14 thousand, which amounts to an annual basic remuneration of EUR 168 thousand. According to the Management Board member contract concluded with Kadri Haldre, she was paid a monthly remuneration of EUR 12 thousand from January to June 2025 and EUR 14 thousand from July 2025, which amounts to an annual basic remuneration of EUR 156 thousand.

As a performance fee, other Management Board members were granted the right to subscribe to the shares of LHV Group in 2025: Meelis Paakspuu to 175,413 shares in the amount of EUR 264 thousand and Jüri Heero to 110,297 shares in the amount of EUR 166 thousand. Kadri Haldre was not granted new share options in 2025.

In 2025, they also exercised their rights for performance fees for the results of the 2021 financial year according to the LTI plan and share option agreements concluded with them in 2022. Mihkel Torim was not eligible to exercise options in 2025. Meelis Paakspuu subscribed to all 114,740 shares granted to him as options in 2022 in the amount of EUR 240 thousand, and Jüri Heero subscribed to all 114,740 shares granted to him as options in 2022 in the amount of EUR 240 thousand. Considering Kadri Haldre's previous position as the Head of Treasury at LHV Pank, she also exercised her right for a performance fee for the results of the 2021 financial year, subscribing to all 30,600 shares granted to her as options in 2022 in the amount of EUR 64 thousand.

In 2025, according to the proposal of the Remuneration Committee, the Supervisory Board of LHV Group decided that while no general changes were made to the remuneration of Management Board members at the beginning of the year, it approved a proposal to amend the monthly basic remuneration of Kadri Haldre to EUR 14 thousand (effective from 1 July 2025) and to set the monthly basic remuneration for the new Chairman of the Management Board, Mihkel Torim, at EUR 16 thousand upon his appointment on 22 July 2025, while taking into account, among other things, the dedication and performance, the entrepreneurial spirit, the scope, responsibility, and intensity of each duties, the situation on the labour market, the remuneration level and importance of the position in the geographical location, the economic situation of LHV Group and LHV Pank, the current and future business performance and trends in comparison with the companies in the same economic sector, as well as the changed and continuously changing environment. The establishment of the basic remuneration also reflects the principle that basic remuneration should represent a sufficiently large part of the total remuneration to allow, where appropriate, not assigning or paying the performance fee in accordance with the option programme established by the shareholders. Further, considering the fact that LHV Group is the largest domestic financial group and capital provider in Estonia, and in view of the strategic trends and long-term objectives of LHV Group, the Supervisory Boards deemed the monthly remunerations set to be such as to motivate the members of the Management Board to act in the best interests of LHV Group and to refrain from acting in personal or other persons' interests, and to act in a way that is fair, transparent, and in compliance with the law.

At the beginning of 2025, the Remuneration Committee, established at the level of the Supervisory Board of LHV Group, discussed and set the objectives for the Chairman and other members of the Management Board of LHV Group for 2025, assessed the performance of them in 2024 and determined their performance fee accordingly. As a result of

the achievement of the previously agreed objectives set for the Management Board members on an individual basis and their performance in 2024, the Supervisory Board of LHV Group, on the proposal of the Remuneration Committee, decided to use the approval of the shareholders of LHV Group to set the performance fee at the maximum amount as per the principles approved by the General Meeting in 2020, and to approve the amount of the performance fees for members of the Management Board in 2025 at up to 200% of their annual basic remuneration in 2024. Later in the year, the Supervisory Board also approved the objectives for the new Chairman of the Management Board, Mihkel Torim, for his term of office in 2025.

The Remuneration Committee also discussed and found, in connection with the exercise of the options in 2025, that there had been no subsequent changes to the 2021 financial results and no subsequent material weaknesses had been identified that would indicate that the members of the Management Board had been compromised in the proper performance of their duties in meeting their objectives. As there were no such additional details on their contribution to the 2021 accrual period which would make it necessary to revise the estimate of the number of options to be exercised in 2025 and reduce the number of instruments granted, the Supervisory Board of LHV Group approved the performance bonuses of the members of the Management Board in 2025 for the results of the 2021 financial year and the rights of the eligible Management Board members to subscribe to all options granted to them in 2022 for the results of the previous financial year. The Management Board members eligible under this plan exercised their rights.

In 2025, the implementation of the remuneration principles was also reviewed by the Remuneration Committee of LHV Group, whose members have sufficient knowledge, expertise and experience in the areas of remuneration policies and practices, risk management and control activities. In addition, LHV Group Internal Audit and Compliance Control monitored

the compliance of the internal remuneration policy with the legislation on remuneration and other internal rules of LHV Group. There were no observations about non-compliance in 2025.

In the light of the above, in 2025 the remuneration of Madis Toomsalu until 21 July 2025, Meelis Paakspuu and Jüri Heero complies with the remuneration principles of LHV Group. The remuneration of Mihkel Torim (from 22 July 2025) and Kadri Haldre, which includes share options granted for performance in previous roles, also complies with the remuneration principles described in the internal remuneration policy of LHV Group, in the section Corporate governance report above and in the remuneration principles approved by the General Meeting.